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No. 95-1764

IN THE SUPREME COURT OF THE UNITED STATES

October Term, 1996

SARATOGA FISHING CO.,

Petitioner,

vs.

J.M. MARTINAC & CO.; MARCO SEATTLE, INC.,

Respondents.

ON WRIT OF CERTIORARI TO THE UNITED STATES COURT OF APPEALS FOR THE NINTH CIRCUIT

BRIEF FOR PETITIONERS

KEITH ZAKARIN*, CA Bar No. 126528
RICE FOWLER BOOTH & BANNING
402 W. Broadway, Suite 850
San Diego, California 92101
Telephone: (619) 230-0030

Attorneys for Petitioner
SARATOGA FISHING CO.

* Counsel of Record

PETITION FOR CERTIORARI FILED APRIL 29, 1996
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QUESTIONS PRESENTED

1. Does the Ninth Circuit's majority opinion on how courts are to determine "other property" in maritime product liability suits conflict with this Court's decision in *East River S.S. Corp. v. Transamerica Delaval Inc.*, 476 U.S. 858 (1986)?

2. Has the Ninth Circuit, by holding that the "product" at issue in maritime product liability suits is the ship as sold, not by the manufacturer, but by the last person who owned the ship, abrogated the well established law of maritime products liability set forth in *East River*, and the decisions of other courts, including the Fifth Circuit's opinion in *Nicor Supply Ships Associates v. General Motors*, 876 F.2d 501 (5th Cir. 1989)?

PARTIES

The parties to this action and their counsel of record are as follows:

For Petitioner SARATOGA FISHING CO.:

RICE FOWLER BOOTH & BANNING
Keith Zakarin, Esq.
402 W. Broadway, Suite 850
San Diego, CA 92101
Telephone: (619) 230-0030

For Respondent J.M. MARTINAC & CO.:

KOLER & PROWS
Duncan B. Koler, Esq.
3033 Fifth Ave., Suite 300
San Diego, CA 92103
Telephone: (619) 683-2944

For Respondent MARCO SEATTLE, INC.:

Daniel B. MacLeod, Esq.
1202 Kettner Blvd., Suite 4400
San Diego, CA 92101
Telephone: (619) 234-7000

CORPORATE DISCLOSURE

Petitioner SARATOGA FISHING CO. has no parent company or subsidiaries.

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I. OPINIONS BELOW

The opinion of the Ninth Circuit Court of Appeals, filed October 26, 1995 (Appendix[1/] ("App."), 4a), is reported at 69 F.3d 1432 (9th Cir. 1995). Neither the district court's Findings on Liability (App., 114a), nor its Oral Findings on Damages (App., 173a) are reported. The original opinion of the Ninth Circuit Court of Appeals, filed April 25, 1995 (App., 80a), and the first revised opinion of the Ninth Circuit Court of Appeals, filed August 4, 1995 (App., 43a) are not published.

II. JURISDICTION

The Ninth Circuit Court of Appeals entered its order denying rehearing of SARATOGA FISHING's ("SARATOGA") motion for reconsideration on January 30, 1996. App., 1a. SARATOGA filed its Petition for Writ of Certiorari on April 29, 1996. This Court granted SARATOGA's Petition for Writ of Certiorari on October 15, 1996. The jurisdiction of this Court is invoked under 28 U.S.C. § 1254(1). Because these claims arose on the high seas, they fall within the admiralty jurisdiction of the federal courts under 28 U.S.C. § 1333.

1/ All "Appendix" or "App." citations are to the appendices to Appellant SARATOGA's Petition for Writ of Certiorari. Pursuant to Supreme Court Rule 26(1), these appendices were not reprinted.

III. STATEMENT OF THE CASE

A. The Nature of the Controversy

Petitioner SARATOGA sued Respondents for damages resulting from a conflagration that occurred on board M/V SARATOGA on or about January 16, 1986, in which M/V SARATOGA burned and sank. M/V SARATOGA was originally purchased in or about 1972 from the manufacturer, J.M. MARTINAC & CO. ("MARTINAC"), by Joseph Madruga, a private individual. The hydraulic system on the vessel was designed by MARCO SEATTLE INC. ("MARCO"). The vessel was completed in 1972, taken to Panama and outfitted with a seine and other fishing equipment, and Madruga began fishing operations with the vessel, with Manual Vargas as its captain.

In 1974, Joseph Madruga sold M/V SARATOGA to the Manual S. Vargas, Jr. Corporation, which later changed its name to SARATOGA. At the time of that sale, M/V SARATOGA was equipped with five speedboats, fuel, a purse skiff, a seine, and various electronic equipment. On or about January 16,1986, a hydraulic hose detached from its coupling, spraying hydraulic fluid onto the turbocharger. Because MARTINAC and MARCO had failed to provide any effective shielding, the hydraulic fluid sprayed onto the adjacent engine surfaces and turbocharger and ignited. The resulting conflagration burned and sank M/V SARATOGA. The crew just managed to get off the ship

into the skiff before the vessel sank.

B. Proceedings Below

1. The Decision of the District Court

The district court concluded that MARCO and MARTINAC were strictly liable for the loss of M/V SARATOGA in that the hydraulic system was defectively designed. The court awarded damages to SARATOGA in the amount of $452,326, approximately one-third of what it determined were the total of SARATOGA's damages (the total damage award was reduced by two thirds for comparative negligence). The district court's award included the loss of "other property" on board M/V SARATOGA, including the tuna catch, seine, skiff, fuel, equipment, payments by SARATOGA to the crew for their personal property losses, the cost of rescue and certain cash carried on board. This "other property" was property that was *not* part of the vessel at the time it was sold by MARTINAC, the vessel manufacturer, to Madruga, the original purchaser. With pre-judgment interest, the total award to SARATOGA came to $734,940.38.

2. The Ninth Circuit's Original Opinion

All parties appealed the district court's decision on various grounds, only one of which, the determination of "other property," is at issue in this Appeal. In its original opinion, issued April 25, 1995 (the "Original Opinion") (App., 80a), the Ninth Circuit correctly recognized that the "product" in products liability cases, including maritime

products liability cases, is determined by what the *manufacturer* places in the stream of commerce. The Ninth Circuit therefore agreed with the Fifth Circuit that,

> additions to a vessel should be considered other property "separate from the product that the **manufacturer** *originally* sold, if the distinction enunciated in *East River* between a 'product' and 'other property' is to have any meaning."

App., 108a, *quoting Nicor Supply Ships Associates v. General Motors*, (hereafter, "*Nicor*") 876 F.2d 501, 506 (5th Cir. 1989) (emphasis added, italics in the original). To distinguish the "product" from "other property" on M/V SARATOGA, the court looked to "the vessel that MARTINAC sold to Madruga in 1972." App., 108a. To include the items that were not part of the vessel originally sold by MARTINAC to Madruga,

> would undermine the 'other property' exception contained in *East River*. Under that rationale, the product would envelop everything else useful in the operation of the vessel, which is not consistent with the balance struck by the Supreme Court.

App., 108a. MARTINAC and MARCO then moved for reconsideration.

3. The Ninth Circuit's First Revised Opinion

On August 4, 1995 (the "First Revised Opinion")

(App., 43a), the same three-member panel (Beezer, J., Ezra, J. and Noonan, J.) scuttled its well-reasoned Original Opinion and changed course 180 degrees. Misreading *East River v. Transamerica Delaval*, 476 U.S. 858 (1986), the panel unanimously held that the manufacturer's "product" is defined for strict products liability as the object that was last transferred from *any* seller to a buyer, even if the seller, as in this case, is a private person and *not* a "seller...who is engaged in the business of selling such a product" as defined by the Restatement (Second) of Torts, Section 402(1)(a). App., 72a-73a.

SARATOGA moved for reconsideration of the panel's First Revised Opinion, noting that the court's ruling abandoned Section 402A of the Restatement (Second) of Torts, ignored the Ninth Circuit's earlier decision in *Pan-Alaska Fisheries, Inc. v. Marine Construction & Design Co.*, 565 F.2d 1129 (9th Cir. 1977) (adopting Section 402A as the law of the Ninth Circuit), placed the Ninth Circuit in direct conflict with the Fifth Circuit by disregarding the well established maritime rule set forth by the Fifth Circuit in *Nicor*, 876 F.2d 501 (5th Cir. 1989) and misread and placed the Ninth Circuit in conflict with this Court's seminal decision in *East River*.

4. The Ninth Circuit's Second Revised (Final) Opinion and Judge Noonan's Dissent

On October 26, 1995, the winds shifted again and a second revised opinion was issued (the "Final Opinion"). App., 4a. It is from this opinion that SARATOGA appeals. In the Final Opinion, only two members of the

panel, Judges Beezer and Ezra (the "majority"), voted to stand by their First Revised Opinion of August 4, 1995. The third member, Judge Noonan, parted company with the majority on its determination of "other property," recognizing that its decision conflicted with the Ninth Circuit's previous decision in *Pan-Alaska*, placed the Ninth Circuit in direct conflict with the Fifth Circuit's decision in *Nicor*, and placed the Ninth Circuit in conflict with this Court's decision in *East River* as well. App., 40a-41a. Judge Noonan's concurrence and dissent, set forth in full, encapsulates perfectly the Ninth Circuit's error and crystalizes the conflict between the circuits created by the Ninth Circuit's opinion and the Ninth Circuit's departure from the rationale and rule of *East River*:

> I concur in the opinion of the court, except as to its exclusion of damages for the skiff, seine net, fuel, spare parts and other miscellaneous equipment sold by Madruga to Saratoga Fishing as part of the sale of the M/V SARATOGA. None of this property was manufactured or sold by Martinac. Under *East River*, 476 U.S. 858, 867 all of it was 'other property,' damages for which are recoverable in tort. The court abandons *East River* and puts this circuit in conflict with another major maritime circuit, *Nicor Supply Ships Associates v. General Motors*, 876 F.2d 501, 505-06 (5th Cir. 1989). The opinion also repudiates controlling authority in this circuit, *Pan-Alaska Fisheries, Inc. v. Marine Construction & Design Co.*, 565 F.2d 1129 (9th Cir. 1977). That case

> accepted 'as the law of products liability in this circuit, at least for this case arising in admiralty,' the Restatement (Second) of Torts, § 402A *Id.* at 1135. Under the Restatement, the original seller of the product in a defective condition that is unreasonably dangerous that has entered the stream of commerce is strictly liable to the ultimate consumer for physical harm caused to that consumer's property. Saratoga Fishing is here the ultimate consumer; Martinac is the original seller; the property damaged was Saratoga Fishing's and no more part of the product sold by Martinac than was the tuna catch for which damages are granted.
>
> The court appears to have been swayed by the consideration that additions made by a middleman could increase the original seller's liability. That of course is a risk the seller of an unreasonably dangerous, defective product takes. If the explosion had occurred while Madruga still owned the boat after adding the skiff and net, there is no doubt that Martinac would have been liable for those additional items. Martinac's exposure should not decrease because Madruga sold the ship to Saratoga Fishing. Whatever theory one adopts, the liability of the original seller may change as the ultimate consumer adds or subtracts property which can be affected by the defective product. The theory of strict

> liability holds that the seller is stuck whatever foreseeable damage to the consumer's other property his product causes.

App., 40a-41a, Noonan, J., concurring and dissenting.

IV. SUMMARY OF ARGUMENT

The Ninth Circuit erred when it held that for purposes of maritime products liability, a vessel manufacturer's "product" includes all property on board the vessel at the time the vessel is sold by the original purchaser to a second purchaser, whether or not that "other property" was part of the vessel sold by the manufacturer to the original purchaser. The Ninth Circuit erred by misreading *East River* to import a contract (i.e., warranty) analysis into product liability law. *East River* delineated the "sphere" of warranty law to include damages caused by the product to itself and other business-related damages (e.g., lost profits) that might occur where a product breaks down or fails to perform as expected ("economic damages"). However, where the product defect resulted in destruction of property other than the product itself (i.e., "other property"), tort liability (i.e., products liability) was triggered. By misreading *East River* and improperly importing a warranty analysis into products liability law, the Ninth Circuit effectively barred subsequent purchasers of the vessel manufacturer's product from recovering for damages to property that was on board the vessel at the time of purchase, but that was *not* part of the vessel (the "product") placed into the stream of commerce and sold by the manufacturer.

V. ARGUMENT

A. The Ninth Circuit's Ruling Has Created a Conflict in the Circuits, and is in Direct Conflict with this Court's Decision in *East River*

The Ninth Circuit is a major maritime law court. Its October 26 Final Opinion will, if given effect, disrupt maritime products liability law in not only the Ninth Circuit, but in the United States as a whole. By misreading and misapplying *East River*, the Ninth Circuit has decided an important question of maritime law "in a way that conflicts with relevant decisions of this Court." Sup. Ct. R. 10(c). By its error, the Ninth Circuit has in fact disrupted the careful delineation between the "separate spheres" of products liability and contract law set forth by this Court in *East River*. 476 U.S. at 870-871. Moreover, the Ninth Circuit has "entered a decision in conflict with the decision of another United States court of appeals on the same important matter," namely, the Fifth Circuit's ruling in *Nicor* and other decisions. Sup. Ct. R. 10(a).

The Ninth Circuit's erroneous decision creates an intolerable situation that will effectively destroy claims for "other property" by second and subsequent purchasers of a vessel, even though the damage to other property was caused by exactly the same defect that existed at the time the manufacturer sold the vessel to the first purchaser. Effectively, once a vessel is sold or transferred by the first buyer, the second vessel buyer has no remedy for product defects that cause damage to "other property" added to the vessel by the first buyer. Resales or transfers of vessels to

another owner or operator are, however, commonplace, and often occur within a short time of the useful life of the vessel. It is also common that, as in this case, after a vessel is purchased, other items are added to outfit it for its particular purpose. These additional items, as can be seen in this case, can amount to as much or more than one-third of the total value of the vessel.

B. The Ninth Circuit Erred by Misunderstanding *East River's* Clear Delineation Between the Spheres of "Economic Loss," Governed by Warranty and Contract Law, and Non-Economic Loss, Governed by Tort Law

The Ninth Circuit erred by misunderstanding and misreading *East River*'s distinction between the sphere of warranty law, which governs damage to the product itself or consequential losses (e.g., lost profits) suffered because of the failure of the product ("economic loss"), and the sphere of tort law (i.e., products liability law), which governs damage to persons or property *other than* the product itself ("non-economic loss"). It was precisely this delineation that was at issue in *East River*. At the time *East River* was decided, at least two views existed nationwide as to the proper scope of recoverable damages in products liability law. One group of courts, including the California Supreme Court in *Seely v. White Motor Co.*, 63 Cal.2d 9, 45 Cal. Rptr. 17, 403 P.2d 145 (1965), left to warranty law damage caused by the product to itself (i.e., economic loss), leaving to tort law damage caused to property (or to persons) that was *not* part of the product

itself ("other property"). *East River*, 476 U.S. at 869. Another group of courts allowed product liability law to extend not only to "other property," but to the product itself. That is, these courts allowed recovery in tort for "economic damages." *East River*, 476 U.S. at 869. At issue in *East River* was whether bareboat charterers of a vessel could recover in tort from Transamerica Delaval, Inc. ("Delaval"), the manufacturer of the ship's turbines, for damage to the turbines caused by defective turbine component parts. *East River*, 476 U.S. at 860, 875.[2/] As stated by the Court, "we must decide whether a cause of action in tort is stated when a defective product purchased in a commercial transaction malfunctions, injuring only the product itself and causing purely economic loss." *East River*, 476 U.S. at 860.

East River sided with the "majority view" expressed by *Seely*. Warranty law would govern the extent to which a purchaser could recover from the manufacturer for damage to the product itself ("economic damages"), and products liability law would govern recovery for damage to "other property." The logic of the Court was straightforward: If a manufacturer warranted that its product would continue to function properly for a certain

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2/ The bareboat charterer's second amended complaint alleged five counts, the first four of which the Court read as alleging strict liability against Delaval for product defects. The fifth cause of action alleged negligent supervision of the installation of a valve on the ship. The plaintiffs' original complaint had alleged breach of contract and warranty against Seatrain Shipbuilding Corp. ("Shipbuilding") and its parent corporation, Seatrain Lines, Inc. ("Seatrain"). Shipbuilding built the ships. Those claims were dropped in the second amended complaint.

period of time, e.g., 5 years, it could estimate the cost of that warranty and could include that cost in the price it charged for its product. If, on the other hand, the manufacturer offered a short warranty, or no warranty at all, the price it could charge would be less. By offering a short warranty, or no warranty at all, the manufacturer could limit its liability to the purchaser for the failed product (and, similarly, for any economic consequences caused by the failure of its product (e.g., lost business)). The trade-off was that the manufacturer could not charge as much for its product. *East River* recognized that this "price/limitation-of-damages" tradeoff that is the fundamental basis of warranty law was appropriate for those situations in which the product destroyed itself. Products liability law, however, governed where the product defect resulted in injury to a person or property other than the product itself. *See East River*, 476 U.S. at 871, 872.

C. By Misreading *East River* to Import Contract Analysis into Products Liability Tort Law, the Ninth Circuit Erred in Deciding How "Other Property" Is Determined

The panel's Original Opinion correctly recognized that *East River* defined the "product" for products liability purposes is that which the *manufacturer* places in the stream of commerce. The Original Opinion correctly held that the distinction between the "product" and "other property" turned on whether the property was "'separate from the product that the **manufacturer** *originally* sold" to the first buyer; in this case, what MARTINAC sold to

Joseph Madruga, the original buyer of M/V SARATOGA. App., 108a (emphasis added, italics in the original), *citing Nicor*, 876 F.2d at 506. The panel's Final Opinion (and its First Revised Opinion) misread *East River* as holding that the "product" is defined for strict products liability as the object that was last transferred from *any* seller to a buyer, even if the seller, as in this case, is an occasional seller; that is, *not* a "seller...who is engaged in the business of selling such a product" as defined by the Restatement (Second) of Torts, Section 402(1)(a). App., 33a-35a.

The Final Opinion abrogates fundamental products liability principles which provide that 1) only commercial sellers (e.g., manufacturers and distributors), not end-users of a product can be held liable for a product's defects; 2) the "product" at issue in strict products liability analysis is the product the manufacturer or distributor placed into the stream of commerce; 3) product liability cannot be disclaimed by warranty; and 4) "[t]he consumer's cause of action does not depend upon the validity of his contract with the person from whom he acquires the product . . . ." Restatement (Second) of Torts, § 402A, cmt. m (1977).

The Ninth Circuit interpreted *East River* to hold that a downstream sales contract between consumers determines "the product" at issue for purposes of distinguishing "the product" from "other property." App., 33a-35a. The Ninth Circuit was wrong. Looking to a downstream contract to define a manufacturer's "product" for strict products liability purposes ignores *East River*'s determination that the recovery of property damages under maritime products liability law, including strict products liability, is controlled by Section 402A of the Restatement (Second) of Torts. *East River*, 476 U.S. at 875, *citing with*

approval Pan-Alaska Fisheries, Inc., 565 F.2d 1129, 1135 (9th Cir. 1977) (adopting Restatement (Second) of Torts § 402A (1965)).

1. Strict Products Liability Law Applies Only to Sales by Commercial Manufacturers, Distributors or Retailers to Consumers

The Ninth Circuit initially erred when it framed the question before it as "*whether the 'product' changed* when Madruga added various components, including a skiff, seine and other miscellaneous parts, to the vessel and resold it to Saratoga Fishing." App., 33a-34a (emphasis added). By answering "yes," the Ninth Circuit placed Joseph Madruga, a consumer, in the shoes of MARTINAC, the designer and manufacturer of M/V SARATOGA, for purposes of determining MARTINAC's "product."

Section 402A of the Restatement (Second) of Torts, cited with approval by this Court in *East River* and adopted by the Ninth Circuit in *Pan-Alaska Fisheries, Inc.*, 565 F.2d at 1134-1135, provides:

> § 402 A. Special Liability of Seller of Product for Physical Harm to User or Consumer.
>
> (1) One who *sells* any product in a defective condition unreasonably dangerous *to the user or consumer or to his property* is subject to liability for physical harm thereby caused to the *ultimate* user or consumer, or to his property, if
>
> (a) the seller is *engaged in the business of selling such a product*, and
>
> (b) it is expected to and does reach the user or consumer without substantial change in the condition in which it is sold.
>
> (2) The rule stated in Subsection (1) applies although
>
> (a) the seller has exercised all possible care in the preparation and sale of his product, and
>
> (b) *the user or consumer has not bought the product from or entered into any contractual relation with the seller.*

Restatement (Second) of Torts, § 402A (1977) (emphasis added).

A "seller" of a product under Section 402A is unequivocally *not* a consumer reselling the product, but a *commercial* seller (e.g., a manufacturer, distributor) of that product:

> The rule stated in this Section applies to any person engaged in the business of selling products for use or consumption. It

> therefore applies to any *manufacturer* of such product, to any *wholesale or retail dealer or distributor*, and to the operator of a restaurant.

Restatement (Second) of Torts, § 402A, cmt. f (1977) (emphasis added). A "product," as defined by the most recent Tentative Draft of the Restatement (Third) is not an item resold by one consumer to another consumer but,

> something *distributed commercially* for use or consumption. Most but not necessarily all products are tangible personal property; most have been subjected to processing and fabricating prior to entering the stream of commerce; and most pass through a commercial chain of distribution before ultimate use and consumption.

Restatement (Third) of Torts: Products Liability, § 4 (Tentative Draft No. 2, March 13, 1995) (emphasis added).

Joseph Madruga was not in the business of selling tuna boats. Madruga was a small shipowner who sold his boat to his former captain. App., 6a. He was *not* a commercial seller when he sold M/V SARATOGA. He therefore could *not*, by definition, have placed MARTINAC's product into the stream of commerce as a seller under Section 402A of the Restatement.

2. The Ninth Circuit's Final Opinion Undermines the Rationale for Applying Strict Products Liability Only to Commercial Manufacturers and Distributors

The rationale for strict products liability, embodied in *East River*, the Restatement, and the Ninth Circuit's Original Opinion, is the *manufacturer's* ability to spread the risk of defects and to correct defects in the product:

> [T]he justification for the strict liability has been said to be that the seller, *by marketing his product for use and consumption*, has undertaken and assumed a special responsibility toward any member of *the consuming public* who may be injured by it; that the *public* has the right to and does expect, in the case of products which it needs and for which it is forced to rely upon the seller, that reputable sellers will stand behind their goods; that public policy demands that the burden of accidental injuries caused by products intended for consumption *be placed upon those who market them*, and be *treated as a cost of production* against which liability insurance can be obtained; and that the consumer of such products is entitled to the maximum of protection at the hands of someone, and the proper person to afford it are *those who market the products*.

Restatement (Second) of Torts, § 402A, cmt. c (1977) (emphasis added). This Court in *East River* likewise understood that this rationale applied to the *manufacturer*, not the occasional downstream seller:

> The *manufacturer* is liable whether or not it is negligent because 'public policy demands that responsibility be fixed wherever it will most effectively reduce the hazards to life and health inherent in defective products *that reach the market*.' *Escola v. Coca Cola Bottling Co. of Fresno*, 24 Cal.2d, at 462, 150 P.2d, at 441 (opinion concurring in judgment).

East River, 476 U.S. at 866-867 (emphasis added).

East River understood that a manufacturer's strict liability for defective products stands separate and apart from contract based warranty law and is based on a separate rationale:

> Products liability grew out of a public policy judgment that people need more protection from dangerous products than is afforded by the law of warranty. *See Seely v. White Motor Co.*, 63 Cal.2d 9, 15, 45 Cal. Rptr. 17, 21, 403 P.2d 145, 149 (1965).

East River, 476 U.S. at 866.[3/]

[3/] Again siding with *Seely*, *East River* recognized that damage to property did not differ from damage to persons in strict products liability: "For similar reasons of safety, the *manufacturer's* duty of care was broadened to include protection against property damage. [citations omitted] Such damage is considered so akin to personal injury that the two are treated alike. *See Seely*, 63 Cal.2d at 19, 45 Cal. Rptr., at 24, 403 P.2d, at 152." *East River*, 476 U.S. at 867.

Under the Ninth Circuit's reasoning, an occasional seller like Joseph Madruga cannot be held liable under products liability law for a products' defects, and none of the rationales upon which strict product liability rests apply to him. Yet the Ninth Circuit's conclusion is that this same occasional seller can nonetheless "change" the manufacturer's "product" for products liability purposes. App., 34a-35a. The focus of the Ninth Circuit's flawed inquiry was not on what the manufacturer placed into the stream of commerce, but on what the downstream consumer, Madruga, resold. App., 34a-35a. The district court (and the dissent) correctly rejected this awkward result: "I conclude that the definition of the vessel . . . would change with each successive sale of the boat, including and then excluding the new or removed items on board. This rule of law would be awkward and illogical." App., 176a; *see also* App., 41a, Noonan, J., concurring and dissenting.

3. The Ninth Circuit Misunderstood That in *East River*, this Court First Determined That Products Liability Law Did Not Apply Before Going on to Reach a Decision under Warranty Law

The Ninth Circuit claimed that *East River* "focused on the terms of 'the charterers' agreements with the

owners." App., 34a. The Ninth Circuit claimed that "the contract being discussed" throughout *East River* was the contract "between the first buyer and the bareboat charterer, who the court treated as equivalent to a second buyer." App., 34a-35a. The Ninth Circuit was wrong. It misunderstood whom the "buyer" was that this Court was referring to in *East River* when, in the first part of its decision, this Court performed its products liability analysis to determine the identity of the "product" at issue. Like *Shipco 2295, Inc. v. Avondale Shipyards, Inc.*, 825 F.2d 925 (5th Cir. 1987), *East River* focused on the "product" from the perspective of the *first* purchaser, the boat owners[4], not the bareboat charterers.[5] *East River* did

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[4] The owners were subsidiaries of Seatrain. The ships had been constructed under contract between these subsidiaries of Seatrain and another Seatrain subsidiary, Shipbuilding. Shipbuilding had, in turn, contracted the design and manufacture of the ships to Delaval. Finally, the bareboat charterers of the ships were also Seatrain subsidiaries. *East River*, 476 U.S. at 859-860.

[5] The Ninth Circuit may well also have misapprehended the teaching of *Shipco* and its application to this case. After this Court decided in *East River* that recovery in tort was not available where a component part of a vessel injured only itself, *Id.*, 476 U.S. at 871, *Shipco* faced the next question. That is, could a component part manufacturer be held liable in tort for damage to the rest of the vessel caused by the defective component part? The Fifth Circuit answered "no," at least insofar as the component part (e.g, the defective steering gear) had been sold to the original purchaser as an integral part of the completed vessel. *Shipco*, 825 F.2d at 929-930. The focus of *Shipco* was identification of the final, completed product the first purchaser bought from the manufacturer. That case has no bearing where, as here, the sale was a downstream sale between two private parties.

not focus on the downstream agreement between the owners of the vessels and the "second buyers," the bareboat charterers, *until after it had determined that strict products liability law did not apply.*

Thus, in the first part of its decision, *East River* held that the plaintiffs had no products liability claims because *only* "economic damage," that is, damage to the product itself, was at issue. *East River*, 476 U.S. at 867. It made this determination only *after* it had decided what "the product" at issue was. To do this, the Court looked to what had been "*supplied by Delaval*," the manufacturer, to the owners of the ships at the time of delivery to the owners. Because "each turbine was *supplied by Delaval* [the manufacturer] as an integrated package," each turbine was "properly regarded as a single unit." *East River*, 476 U.S. at 867. As a result, because the "defectively designed turbine components [had] damaged only the turbine itself," "*there was no damage to 'other' property.*" *East River*, 476 U.S. at 867.

Once the Court had determined that the turbines were "the product" sold by Delaval to the owners, and that the turbines had damaged only themselves, the Court considered whether damage caused by the product to itself was recoverable in tort under a products liability theory. The Court examined the schism between those courts that held that damage to the product itself was recoverable, and those that did not. *East River*, 476 U.S. at 868-871. Ultimately, the Court endorsed California's Supreme Court decision in *Seely* and held that damage to the product itself (e.g., the turbine supplied by Delaval), was "economic damage" that could not be recovered in tort under a products liability theory. Therefore, such damage

could not be recovered in tort by *either* the owners or the bareboat charterers. *East River*, 476 U.S. at 867, 875. The Court therefore proceeded to its analysis under warranty law.

4. The Ninth Circuit Confused *East River*'s Discussion of Warranty Law with *East River's* Discussion of Products Liability Law

Because it confused *East River*'s discussion of products liability law with its discussion of warranty law, the Ninth Circuit erroneously imported *East River*'s discussion of warranty law into its analysis of SARATOGA's product liability claims. As a result, the Ninth Circuit misunderstood this Court's discussion of "the benefit of the bargain" under warranty law and erroneously applied that discussion to its products liability analysis. The Ninth Circuit's error is seen in the phrasing of its question:

> We must decide whether the "product" changed when Madruga added various components, including a skiff, seine and other miscellaneous parts, to the vessel and resold it to Saratoga Fishing.

> We are guided by the policies set forth in *East River*, where the Court stated that *the focus of the product* should be on the failure of the purchaser to receive the *benefit of its bargain*. Warranty and contract law are appropriate for this type of situation. Here, the purchaser is Saratoga Fishing and the object of its bargain was the M/V SARATOGA with the components already installed. Saratoga Fishing purchased the vessel "as is." Madruga made no "warranty or representation of vessel condition."

App., 34a.

The Ninth Circuit missed this Court's point. The "benefit of the bargain" and "as is" language in *East River* relied on by the Ninth Circuit, App., 34a, played no part in *East River*'s products liability analysis; rather, that language was only relevant to determine whether the bareboat charterers (the subsequent "purchasers" of the vessel) had any remedy in warranty. This warranty analysis came only *after* this Court had decided that products liability law did not apply because the product, the turbines, had only injured themselves. *East River*, 476 U.S. at 867. This Court determined that the bareboat charterers did not have any remedy *in warranty*. No warranties were available because there were no warranties given by the *owners* to the bareboat charterers. The bareboat charterers did not have standing to sue on the manufacturer's warranties to the owners because those warranties had *not* been transferred to the bareboat charterers by the owners. *East River*, 476 U.S. at 875. At

this point, this Court determined that, *under contract law*, there was "no reason to extricate the parties from their bargain." *East River*, 476 U.S. at 875. None of this discussion, contrary to the Ninth Circuit's reading, had anything to do with this Court's products liability analysis in *East River*.

5. East River Understood That "Economic Loss" Did Not Include Damage to Property Physically Separate From the Defective Product

The Ninth Circuit misunderstood what this Court meant by "economic loss" in the context of products liability law, and its relationship to "benefit of the bargain" under warranty law. App., 33a-34a. Agreeing with the California Supreme Court's decision in *Seely*, this Court in *East River* defined "economic" damage to mean damage to the product itself and business-related consequential damages proximately caused when a product fails to perform as the purchaser expected:

> [S]ince by definition no person or other property is damaged, the resulting loss is purely economic. Even when the harm to the product itself occurs through an abrupt, accident-like event, *the resulting loss due to repair costs, decreased value, and lost profits* is essentially the failure of the purchaser to receive the benefit of its bargain--traditionally the core concern of contract law. See E. Farnsworth, Contracts Sec. 12.8, pp. 839-840 (1982).

East River, 476 U.S. at 870 (emphasis added).

Because it failed to distinguish this Court's discussion of product liability law from its discussion of warranty law in *East River*, the Ninth Circuit misapprehended *East River*'s "benefit of the bargain" language as applying to damages caused by a defective product to other physically distinct property, regardless of whether the damaged property was manufactured, assembled and sold as a single finished product by the same seller. App., 34a-35a. "Economic loss" analysis focuses not on the damage to persons or property extrinsic to the product placed on the market by the manufacturer, but on unlimited expectation damages that could be proximately caused by a complex, defective product made up of several components that failed to perform the work expected. *East River*, 476 U.S. at 872-873. Allowing tort recovery against a Section 402A seller in situations where the complex product it sold damages only itself would, as *Seely* explained, swallow up the price/limitation-of-damages tradeoff allowed by warranty law. *East River* agreed with this assessment. *Id.*, 476 U.S. at 873 ("The manufacturer can restrict its liability, within limits, by disclaiming warranties or limiting remedies. See UCC Secs. 2-316, 2-719. In exchange, the purchaser pays less for the product.") The Court recognized the "need to keep products liability and contract law in separate spheres," *Id.*, 476 U.S. at 870-871, and accordingly performed its products liability analysis independent of its warranty law analysis:

> Products liability grew out of a public policy judgment that people need more protection from dangerous products than is

> afforded by the law of warranty. See *Seely v. White Motor Co.*, 63 Cal.2d 9, 15, 45 Cal. Rptr. 17, 21, 403 P.2d 145, 149 (1965). It is clear, however, that if this development were allowed to progress too far, contract law would drown in a sea of tort. See G. Gilmore, The Death of Contract 87-94 (1974). We must determine whether a commercial product injuring itself is the kind of harm against which public policy requires manufacturers to protect, *independent of any contractual obligation.*

East River, 476 U.S. at 866 (emphasis added).

Seely explained that warranty law could *not* shield a manufacturer from liability for defects in its product that create an "unreasonable risk of harm" to persons or property physically distinct from its product:

> The distinction that the law has drawn between tort recovery for physical injuries and warranty recovery for economic loss is not arbitrary and does not rest on the 'luck' of one plaintiff in having an accident causing physical injury. The distinction rests, rather, on an understanding of the nature of the responsibility a manufacturer must undertake in distributing his products. *He can appropriately be held liable for physical injuries caused by defects by requiring his goods to match a standard of safety defined in terms of conditions that create unreasonable risks of harm. He*

> *cannot be held for the level of performance of his products in the consumer's business unless he agrees that the product was designed to meet the consumer's demands.* A consumer should not be charged at the will of the manufacturer with bearing the risk of physical injury when he buys a product on the market. He can, however, be fairly charged with the risk that the product will not match his economic expectations unless the manufacturer agrees that it will.

Seely, 63 Cal. 2d at 18 (emphasis added). *East River* understood and agreed with the *Seely* analysis. *East River*, 476 U.S. at 871-872 .

The price/limitation-of-commercial damages balance that is the "benefit of the bargain" between the manufacturer and the original purchaser under warranty law has no application where, as here, the product placed into the stream of commerce by a manufacturer results in harm to persons or property physically distinct from the product sold by the manufacturer. Contrary to the Ninth Circuit's reading, nothing in *East River* is "inconsistent" with holding a product manufacturer fully liable in tort for damages caused by its product to persons and property physically distinct from the product. App., 35a.

D. The Ninth Circuit's Decision Places it in Direct Conflict with the Restatement Second and Other Circuits, Which Look to What the 402A Seller Delivered, Not to What a Downstream Consumer Sold, to Determine the "Product" Sold by the 402A Seller

Except for the Ninth Circuit (if the Ninth Circuit's revised decision stands), the unanimous rule is that if a defective product proximately causes damages to a person's property that is physically distinct from the defective product, the injured party is entitled to tort damages from the 402A seller of the defective product. That physically distinct property will be treated as "other property" for *East River* damage limitation purposes. This rule is logical and true even if both the defective product and the damaged property came to the injured owner by way of a transaction involving a non-402A seller as in this case and as in *Nicor*. Hence, as the Fifth Circuit held in *Nicor*, "the finished vessel delivered *by the manufacturer to the purchaser* is the product -- the object of the contract . . . ." *Nicor*, 876 F.2d at 505 (emphasis added).[9]

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[9] This determination is also made explicit in the Tentative Draft of the Restatement (Third) of Torts, which specifically defines and discusses "economic loss" to property, finding "other property" to be property "exclusive of the product itself":

> § 6. Definition of "Harm to Persons or Property": Economic Loss
>
> For purposes of this Restatement the term "harm to persons or property" includes economic loss only when caused by harm to:
>
> (a) the plaintiff's person;
>
> (b) the person of another when harm to the other interferes with a legally protected interest of the plaintiff;
>
> (c) *the plaintiff's property other than the defective product itself.*

Restatement (Third) of Torts: Products Liability, § 6 (Tentative Draft No. 2, March 13, 1995) (emphasis added).

The Third Restatement then defines "other property":

> *'Other property,' in its most basic sense, may be defined as tangible items belonging to the product purchaser, exclusive of the product itself.* Numerous cases hold that where damage is done by a defective product to any tangible item which is *physically distinct* from it, the damage to the 'other property' may be recoverable in tort.

Restatement (Third) of Torts: Products Liability, § 6, cmt d at 189 (Tentative Draft No. 2, March 13, 1995) (emphasis added).

No court other than the Ninth Circuit has ever held that a downstream sales contract between two consumers determines the boundaries of what a manufacturer's "product" is for purposes of defining "other property." Numerous cases, on the other hand, clearly focus on the product placed on the market by the manufacturer. In *Nicor*, the court looked to the "the object of the contract" between the shipbuilder and the plaintiff buyer to determine that equipment placed on the vessel by the plaintiff was "other property." *Nicor*, 876 F.2d at 505.

Likewise, in *Shipco*, 825 F.2d 925, the court denied recovery under *East River* against a manufacturer of a component part of a ship for economic damages caused by the part to the rest of the ship, where the component was sold by the shipbuilder to the first purchaser as original equipment; that is, it was part of the *complete ship* sold by the *manufacturer* to the first consumer/purchaser.[2/]

In *McDermott, Inc. v. Clyde Iron*, 979 F.2d 1068 (5th Cir. 1993), the court specifically stated how it determined the identity of "the product," and therefore,

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2/ In *Shipco* the court recognized that the question before it was, "what is the product?" *Id.*, 825 F.2d at 928. To answer this question, it asked,

> what is the object of the contract or bargain that governs the rights of the parties? The completed vessels were obviously the objects of the contract. Shipco (footnote omitted) did not bargain separately for individual components of each vessel. We are persuaded that those same vessels that were the object of the contract must be considered "the product" rather than the individual components that make up the vessels.

Id., 825 F.2d at 928. The point was that "Avondale (the manufacturer) sold the completed vessels to Shipco." *Id.*, 825 F.2d at 929. *Shipco*'s analysis was the equivalent of asking, "what did General Motors sell the consumer of a new Oldsmobile?" That case had absolutely nothing to do with the subsequent question, which the Ninth Circuit answered incorrectly, "if the first consumer sells the Oldsmobile to a second consumer a few years later, do the box of toys in the trunk, the child seat and the tool box the first owner sold with it become part of GM's "product" for product liability purposes?

"other property": "The object of the [purchaser]-[manufacturer] contract was the manufacture, design, and sale of the crane *and that is the relevant inquiry*." *McDermott*, 979 F.2d at 1077-1078 (emphasis added). *See also Mays Towing v. Universal Machinery Co.*, 755 F.Supp. 830 (S.D. IN. 1990) (damage to new engines placed in vessel were covered by warranty law; but damage to vessel caused by the defective engines was recoverable as "other property" under products liability law.)

It is undisputed that the skiff, net, fuel, spare parts, speed boats and miscellaneous equipment added to M/V SARATOGA by Madruga and sold to SARATOGA were *not* sold by Respondents at any time and are physically distinct individual products in their own right sold by other manufacturers after MARTINAC and MARCO sold the boat to Madruga. App., 6a. Under fundamental products liability law, because MARTINAC and MARCO did not place these items into the stream of commerce, these items cannot be considered Respondents' "product" for purposes of strict products liability. They are then, by definition, "other property" recoverable by SARATOGA.

E. The Ninth Circuit has Created Uncertainty in the Law

Where *East River* created order from chaos, the Ninth Circuit has created disorder in maritime law. Under *East River*, the spheres of products liability law and warranty law were clearly delineated. Under the Ninth Circuit's decision, however, a subsequent purchaser of a vessel is left to any warranty he may be able to obtain from the original purchaser. For all practical purposes, the

original purchaser, who did not manufacture the vessel, who is not a commercial seller or distributor, who did not place the vessel into the stream of commerce, and who cannot spread the risk of a product defect, would be loathe to assume the liability of the vessel manufacturer and offer to the second purchaser a warranty against unknown product defects.

> Products liability grew out of a public policy judgment that people need more protection from dangerous products than is afforded by the law of warranty. *See Seely v. White Motor Co.*, 63 Cal.2d 9, 15, 45 Cal. Rptr. 17, 21, 403 P.2d 145, 149 (1965).

East River, 476 U.S. at 866. Insofar as "other property" is concerned, however, the Ninth Circuit would take maritime products liability law back to the days of privity, leaving the second or subsequent end-user with no recourse for the destruction of "other property" by the defective product.

The Ninth Circuit's rule would base recovery on fortuity rather than principle. Hence, a first purchaser ("purchaser A") keeps a vessel for 20 years, adding many pieces of equipment to the ship during that period. So long as purchaser A owns the vessel the manufacturer can be held liable in tort for damage or destruction of this "other property" due to a defect in the ship. The manufacturer's liability would therefore increase every time the vessel is modified, so long as it is owned by the first purchaser. Yet if purchaser A sells the ship and all its additions to a second buyer ("purchaser B") after owning it for 20 years and one day, at the moment of sale the

manufacturer's liability for the "other property" *immediately* springs back to zero. As a result, the manufacturer's liability for precisely the same damage caused by precisely the same defect would turn on whether, by luck, the ship was sold the day before the defect manifested itself. *See* App., 41a, Noonan, J., concurring and dissenting.[8/]

Even more troublesome will be the suit in which a vessel manufacturer is sued for a personal injury caused by a defective piece of "other property" (e.g., a skiff) that the manufacturer did not sell with the vessel. The plaintiff would claim, under the Ninth Circuit's reasoning, that the defective "other property" became part of the vessel manufacturer's "product" when the vessel was sold to a second buyer and that the vessel manufacturer is therefore liable for damages caused to the plaintiff by this "other property."

Similarly, the manufacturer of a skiff that, because of a defective steering mechanism, turns and collides with the vessel from which it was launched, will claim that it cannot be held liable for damage to the ship because the skiff became part of the vessel manufacturer's "product" when the vessel, with the skiff, was sold to a second buyer.[2/] The defendant skiff manufacturer will therefore

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[8/] The district court also rejected this outcome as irrational. App., 176a.

[2/] This result would, of course, go far past *Shipco*, which decided only that the manufacturer of the steering mechanism that was part of the vessel when it was originally sold to the first purchaser by the manufacturer, could not be held liable for

contend that the "product" injured only itself. Moreover, because the skiff manufacturer did not provide the buyer with a warranty for such "economic damage," (which *East River* points out is customary) it cannot be held liable for any damage to the vessel. Similarly, because the vessel manufacturer did not provide a warranty for the skiff (after all, it was not even part of the vessel when it was sold), it too will have no liability for the damage.

F. The Law as it Existed Prior to the Ninth Circuit's Saratoga Decision Gave Certainty to Maritime Products Liability Law

No great calamities resulted from this Court's *East River* decision or the Fifth Circuit's decisions in *Shipco* and *Nicor*. *East River* provided a rational, principled basis for distinguishing between the realm of warranty law and products liability law, and for determining what the "product" at issue is for purposes of products liability claims. *Shipco* extended *East River* to establish that the complete vessel sold by the vessel manufacturer was the "product" for purposes of product defects in the component parts of the vessel. *Nicor* put both decisions into effect, holding that property added to the vessel purchased from the manufacturer was "other property" insofar as the vessel manufacturer was concerned. To determine "other property," all looked to what the

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damages that mechanism caused to other parts of the vessel. *Shipco*, 825 F.2d at 930-931. In the example above, under the Ninth Circuit's reasoning, the subsequently added equipment would become part of the manufacturer's "product," for which the manufacturer presumably could be sued. App., 34a-35a.

manufacturer sold to the first end-user purchaser.

East River created certainty and uniformity. The manufacturer could, under warranty law, limit its damages for economic consequences resulting from the destruction of the product itself as the result of a product defect. Consumers had the certainty of recourse to the manufacturer for damage to property other than the product itself where, as here, the product defect resulted in destruction of this "other property." The Ninth Circuit has destroyed this certainty, insulating manufacturers and leaving second and subsequent purchasers of a product with no effective recourse where a defect in the vessel results in destruction of "other property." The Ninth Circuit has erred, and its decision should be reversed.

VI. CONCLUSION

The Ninth Circuit's Final Opinion undermines and eviscerates fundamental tenets of products liability law. It places the Ninth Circuit in direct conflict with this Court's decision in *East River*, the decision of the Fifth Circuit in *Nicor*, and with Section 402A of the

Restatement (Second) of Torts. Only this Court now has the power to restore the uniformity and balance in maritime product liability law envisioned and required by *East River*. SARATOGA respectfully requests that this Court reverse the Ninth Circuit's decision as to "other property," and restore balance and uniformity in maritime products liability law.

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Respectfully submitted,

RICE FOWLER BOOTH &
BANNING
KEITH ZAKARIN
(Counsel of Record)
402 West Broadway, Suite 850
San Diego, CA 92101

Attorneys for
Plaintiff/Appellee/
Cross-Appellant
SARATOGA FISHING CO.